

Choose Your Business Structure

Use this worksheet to organize the facts behind your entity decision. It prepares you for a productive conversation with a qualified attorney, accountant, or tax professional; it does not replace individualized legal or tax advice.

TODAY'S MISSION	SUCCESS STANDARD
Choose a documented working direction for your tax office's legal structure.	You can explain the liability, tax, ownership, and growth factors behind your direction.

1. Your decision facts

Ownership: Will you own the office alone, with a spouse, or with one or more partners?

Risk: Which personal assets or obligations are you most concerned about separating from the business?

Growth: Do you expect to hire staff, add locations, or bring in investors during the next three years?

Income: What is your projected first-year revenue, profit, and owner compensation plan?

Discipline: Which records, meetings, filings, payroll tasks, and formalities can you maintain consistently?

Compare the common structures

FACTOR	SOLE PROPRIETOR	LLC	CORPORATION
Legal identity	No separate legal entity from the owner.	Separate legal entity when properly formed and maintained.	Separate legal entity owned by shareholders.
Liability	Owner generally has unlimited personal liability.	Can help protect personal assets from certain business obligations.	Can provide strong liability protection when formalities are maintained.
Federal tax starting point	Income generally reported by the owner on Schedule C.	Flexible classification; default treatment depends on member count, with elections available.	C corporation or eligible S corporation treatment; rules differ materially.
Administration	Minimal formation requirements, but business records still matter.	Moderate formation and maintenance requirements; separate finances and records are essential.	More governance, documentation, payroll, and corporate formalities.
Growth fit	Simple owner-operated activity with the highest personal-risk tradeoff.	Often balances protection, flexibility, and manageable administration.	Structured ownership and stronger potential for investors or significant scale.

Important protection limits

An entity does not eliminate personal responsibility for negligence, fraud, professional misconduct, or failure to follow due-diligence rules. Liability protection also depends on properly forming and maintaining the entity, separating personal and business finances, keeping accurate records, and following required formalities. Professional liability insurance and strong compliance systems remain important.

Choose a direction to investigate

Mark the statements that match your current plan. These are discussion signals, not an automatic entity recommendation.

- ☐ I will be the only owner at launch.
- ☐ I expect to add a partner or investor.
- ☐ Protecting personal assets is a high priority.
- ☐ I expect to hire staff or add locations.
- ☐ I want the simplest possible startup, even if protection is limited.
- ☐ I can maintain separate accounts, records, and required formalities.
- ☐ My projected income may justify reviewing an S corporation election.
- ☐ I need professional guidance before choosing a structure.

My current working direction

☐ Sole proprietorship	☐ Limited liability company
☐ Corporation	☐ Professional review needed

Why this direction currently fits

What evidence or advice could change my direction?

Prepare for the decision meeting

Bring this page, your launch plan, and your financial projections to a qualified professional who can apply your state rules and personal circumstances.

- ☐ Which entity types are available and appropriate in my state?
- ☐ How would each option affect personal liability and professional risk?
- ☐ How would income, self-employment tax, payroll, and distributions be handled?
- ☐ What formation documents, registrations, fees, reports, and renewal dates apply?
- ☐ What records and formalities must I maintain to preserve separation?
- ☐ Should I obtain professional liability, cyber, general liability, or other insurance?
- ☐ When should I reconsider the structure as revenue, owners, staff, or locations change?

Professional notes

WORKING DIRECTION	PROFESSIONAL / AGENCY TO CONTACT	TARGET DECISION DATE

MISSION COMPLETE WHEN

- ☐ I compared the structures.
- ☐ I documented my working direction and reasoning.
- ☐ I identified the professional or official source I will consult before filing.

Educational notice: This worksheet provides general educational information. Entity formation and tax elections can have legal and financial consequences. Verify current federal and state requirements and obtain advice appropriate to your circumstances before acting.